

Equity Research Toolkit

SATS – Healthy body, healthy margins

Pareto Equity Research Competition 2026

Share price and estimates as of 06.10.26

Case-team

CBS case team with a passion for equity research – presenting a model-driven investment case

TM	University: [your university] Year of study: [year] Experience: [relevant experience]	TM	University: [your university] Year of study: [year] Experience: [relevant experience]	TM	University: [your university] Year of study: [year] Experience: [relevant experience]
Team member 1		Team member 2		Team member 3	

Why we chose this company

- Clear equity story: **market leader** with pricing power and a scalable cost base
- A market that underestimates **margin expansion and cash generation**
- Valuation gap we can **quantify and stress-test** in scenarios

How we worked

- Bottom-up model: **locations x volume x price** per segment, IFRS 16-consistent DCF
- Reverse DCF, **consensus gap**, peers, scenarios and 30 integrity checks
- Every number in this deck ties back to **one Excel model**

Company overview

SATS ASA – the leading fitness club operator in the Nordics, with pricing power and operating leverage

SATS ASA is the **#1 fitness operator in the Nordics** with **755k members** in 273 clubs across Norway, Sweden, Finland and Denmark. **Membership subscriptions (83% of revenue)**, proven **pricing power** and a largely fixed club cost base lift the **EBIT adj. margin to ~14% by 2030E** – with **ROIC well above WACC**.

Company snapshot

1

Sector	Fitness clubs
Headquarters	Oslo, Norway
Listing	Oslo Børs (SATS)
Members (2025)	755k
Locations (2025)	273
Employees	~10,000
Market cap (NOKm)	7,596
Enterprise value (NOKm)	8,673

Scalable model with pricing power

2

- **Recurring revenue:** 83% of sales are monthly memberships; personal training and retail the rest
- **Pricing power:** revenue per member up ~6% a year in 2024-25 and +6% currency adjusted in Q2 2026
- **Operating leverage:** EBITDA before IFRS 16 up from NOK 0.61bn (2023) to NOK 0.87bn (2025) and NOK 0.95bn LTM
- **Capital light:** capex 5.6% of sales and negative working capital

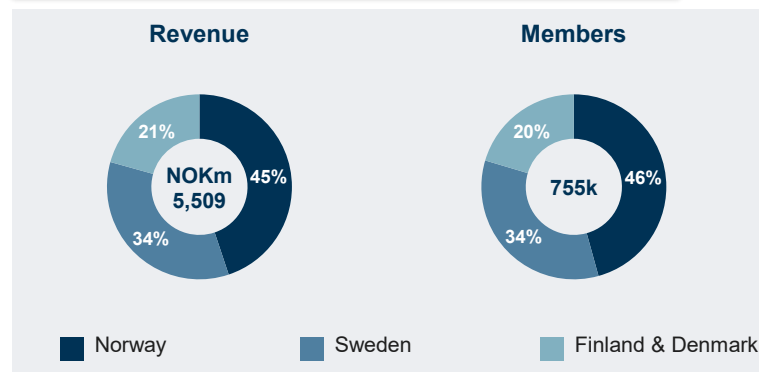
Experienced management team

3

SG	CEO – Sondre Gravir Joined SATS in 2018
CE	CFO – Cecilie Elde Joined SATS in 2016
GS	CDO – Gaute Sandal Chief Digital Officer, joined SATS in 2017

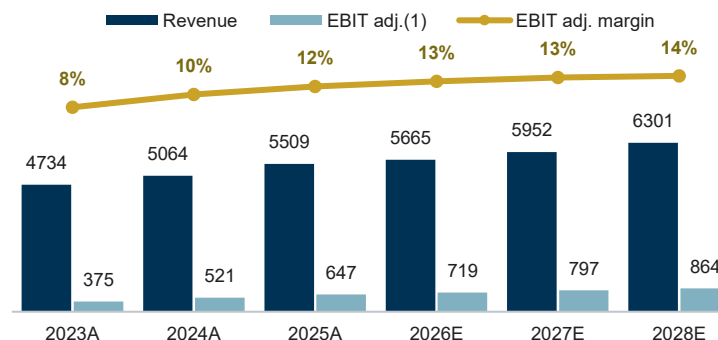
Revenue and member mix (2025)

4



Consistent growth with margin expansion

5



...and returns well above the cost of capital

6

	2023A	2024A	2025A	2026E	2027E	2028E
Profitability						
EBITDA margin	37.7%	38.3%	38.3%	38.9%	39.4%	39.7%
EBIT adj. margin	7.9%	10.3%	11.7%	12.7%	13.4%	13.7%
Returns & cash						
ROIC	11.1%	15.3%	18.9%	20.7%	22.4%	23.6%
WACC	9.1%	9.1%	9.1%	9.1%	9.1%	9.1%
FCF yield	4.0%	5.2%	6.6%	6.2%	6.6%	7.2%
Dividend yield	0.0%	0.0%	3.3%	3.6%	4.2%	5.2%

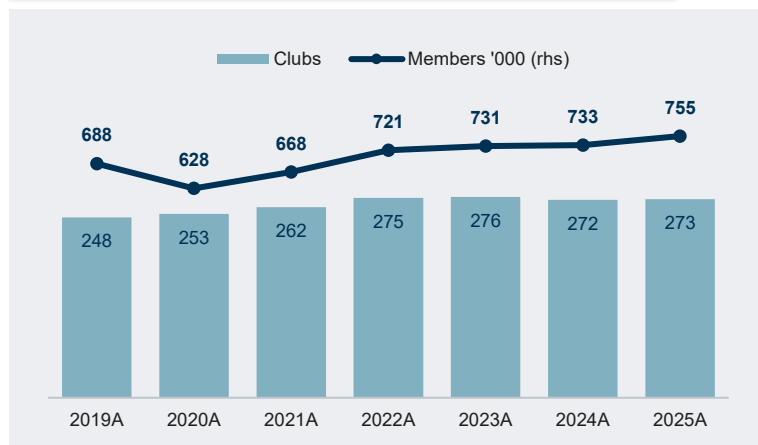
Sources: SATS ASA interim reports (Q4 2019–Q2 2026), satsgroup.com, case team estimates. (1) EBIT adjusted: pre-IFRS 16 (after lease payments) and excl. special items.

Market overview

SATS is #1 in Norway, Sweden and Finland and #2 in Denmark – price, utilisation and new clubs drive growth

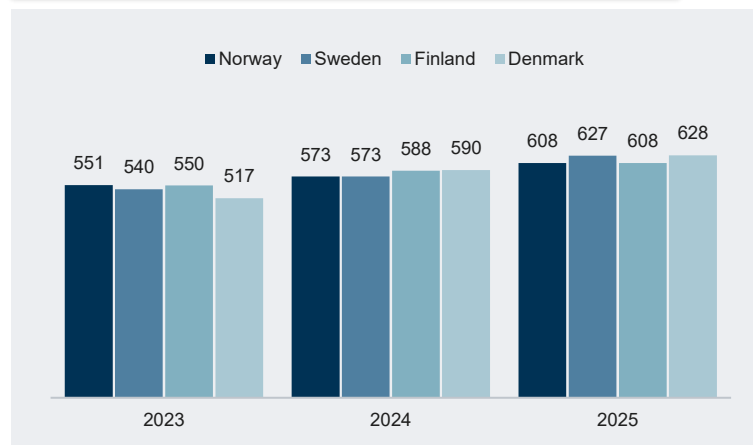
More members per club

1



Revenue per member (NOK/month)

2

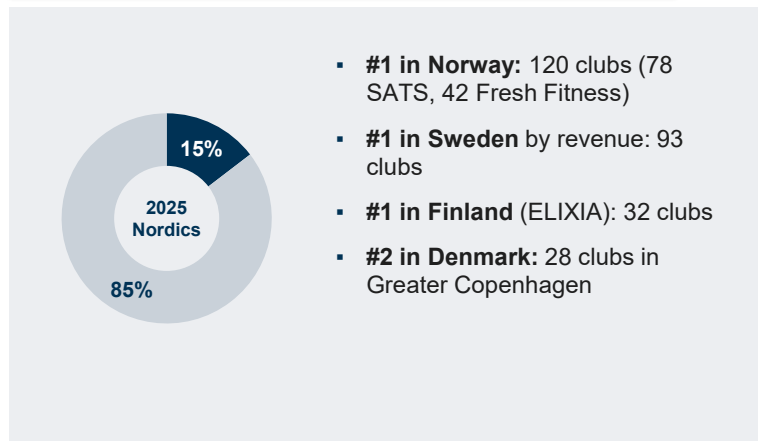


Opportunities

- **Price increases above cost inflation** backed by product tiers and upgrades
- **Higher utilisation:** more members per club at near-zero marginal cost
- **Roll-out:** 8-12 new clubs a year at NOK 7-8m each with a ~3-year payback

~15% of all Nordic fitness members

3



Demand absorbs price increases

4



Disruption

- **Boutique studios and digital training** – met with premium concepts inside the clubs and the SATS app
- **Low-cost segment** – addressed with Fresh Fitness (42 clubs in Norway)
- **GLP-1 weight-loss drugs** – so far neutral to positive: users join to keep muscle mass

Threats

- **Low-cost expansion** in the big cities could cap pricing power – Sweden is the contested market
- **Regulation:** Denmark's VAT on group training and PT (2026) cut the Danish member base by 4%

Financials and estimates

New locations, like-for-like and price drive a 5.1% revenue CAGR 2025–30E, with EBIT margins expanding to 14%

Financial summary (NOKm)

1

	Historical			Forecast				
	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	4,734	5,064	5,509	5,665	5,952	6,301	6,683	7,075
<i>Growth</i>	16.0%	7.0%	8.8%	2.8%	5.1%	5.9%	6.1%	5.9%
EBITDA (reported)	1,784	1,941	2,109	2,203	2,342	2,500	2,675	2,854
<i>Margin</i>	37.7%	38.3%	38.3%	38.9%	39.4%	39.7%	40.0%	40.3%
EBIT adj.	375	521	647	719	797	864	942	1,020
<i>Margin</i>	7.9%	10.3%	11.7%	12.7%	13.4%	13.7%	14.1%	14.4%
Net profit to shareholders	224	326	475	523	577	629	686	742
EPS (NOK)	1.10	1.59	2.39	2.87	3.31	3.77	4.30	4.88
DPS (NOK)	0.00	0.00	1.30	1.43	1.65	2.07	2.37	2.93
Free cash flow to firm	356	446	519	508	543	590	651	707
ROIC	11.1%	15.3%	18.9%	20.7%	22.4%	23.6%	25.0%	26.3%
NIBD / EBITDAaL (x)	2.4x	1.5x	1.1x	1.2x	1.2x	1.2x	1.2x	1.2x

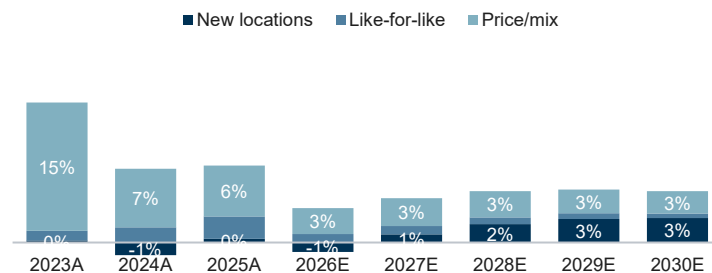
Financial commentary

4

- **5.1% revenue CAGR 2025–30E:** new locations add ~1.5pp, like-for-like ~0.8pp and price/mix ~2.9pp p.a.
- **Operating leverage** lifts EBIT adj. margin from 11.7% to 14.4% as fixed costs and rent grow with inflation and locations, not with sales
- **Growth is paid for:** 31 openings at ~NOK 9m each lift capex to 5.0% of sales (5.6% in 2025A)
- **Highly cash generative:** ~53% of EBITDAaL converts to FCFF; negative working capital funds growth
- **ROIC of 26% by 2030E** – far above our 9.1% WACC
- **Shareholder returns:** payout from 50% to 60%; cash above 1.25x NIBD/EBITDAaL funds buybacks – NOK 1,888m over 2026–30E

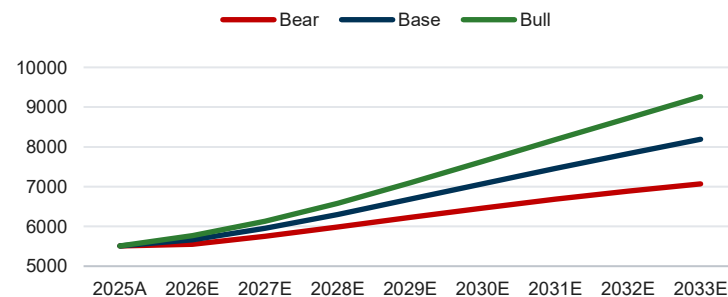
Growth: new locations, like-for-like, price

2



Revenue by scenario (NOKm)

3



Our estimates vs. consensus

5

vs. consensus	2026E	2027E	2028E
Revenue	-0.8%	-1.5%	n.a.
EBITDA	n.a.	n.a.	n.a.
EBIT	n.a.	n.a.	n.a.
EPS	-1.1%	-5.8%	n.a.

Where we differ – operating leverage. Consensus: Close to us for 2026 and ~6% above us on 2027 EPS; the share price implies only ~12.3% in 2033 (11.7% today). We: EBIT adj. margin rises from 11.7% (2025) to 15.1% by 2033 on a largely fixed cost base.

Valuation and recommendation

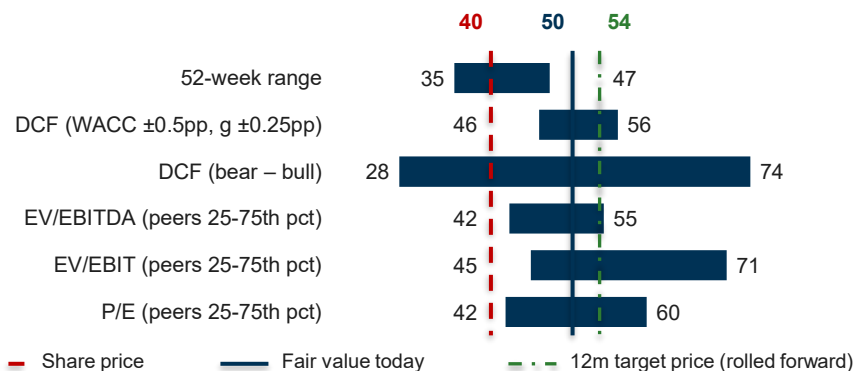
We recommend BUY with a target price of NOK 54 – 36% upside and 39% expected total return

Our take: at NOK 40 the market prices in an EBIT margin of 12.3% in 2033E – above the 11.7% SATS earns today. We see 15.1% as fixed costs are spread over more locations. DCF NOK 51 and peers NOK 50 both point higher: **12-month target price NOK 54(1), BUY.**

BUY – TP NOK 54

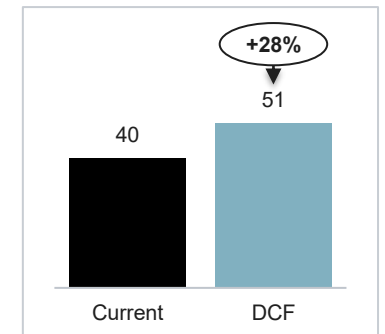
- **Little operating leverage priced in:** the share price implies a 12.3% EBIT margin in 2033E (11.7% today) – we model 15.1%
- **Growth engine intact:** revenue per member, members per club and 7-8 net openings a year (13 committed through 2028, target 8-12)
- **Cash machine:** FCF yield rising to 8% by 2029E funds rising dividends
- **Asymmetric risk/reward:** bull NOK 74 vs. bear NOK 28 per share (DCF)
- **Catalysts:** Q3 report 27 Oct 2026 (margins), the next buyback programme, the 2027 opening pipeline

Valuation summary – football field (NOK/share)



DCF valuation – sensitivity analysis (NOK per share)

		WACC						
		7.56%	8.06%	8.56%	9.06%	9.56%	10.06%	10.56%
Terminal growth	1.50%	62.9	57.5	52.8	48.8	45.3	42.2	39.5
	1.75%	64.5	58.8	53.9	49.7	46.1	42.9	40.0
	2.00%	66.3	60.3	55.1	50.7	46.9	43.5	40.6
	2.25%	68.3	61.8	56.4	51.7	47.7	44.3	41.2
	2.50%	70.5	63.6	57.8	52.9	48.7	45.0	41.8



What the market is pricing in (reverse DCF)

	Market	Ours	2025A
EBIT adj. margin 2033E	12.3%	15.1%	11.7%
Revenue CAGR 2025–33E	4.5%	5.1%	10.5%
WACC	10.7%	9.1%	–

- **Little operating leverage priced in:** the market's 2033E margin is only 0.6pp above today's and 2.8pp below ours
- **Each 1pp of margin is worth NOK 4.0 per share** – our upside rests on margins, not on multiples

12.3%

Market-implied, 2033E

15.1%

Our base case, 2033E

11.7%

Today (2025A)

Appendix

Supporting analysis and model details

DCF model – base case

Base case DCF value of NOK 51 per share – the terminal value accounts for 66% of enterprise value

Free cash flow to firm and discounting (NOKm)

	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	TY
Revenue	5,509	5,665	5,952	6,301	6,683	7,075	7,461	7,831	8,192	8,356
<i>Growth</i>	8.8%	2.8%	5.1%	5.9%	6.1%	5.9%	5.5%	5.0%	4.6%	2.0%
EBITDAaL	866	946	1,035	1,116	1,210	1,303	1,395	1,483	1,563	
<i>Margin</i>	15.7%	16.7%	17.4%	17.7%	18.1%	18.4%	18.7%	18.9%	19.1%	
EBIT adj.	647	719	797	864	942	1,020	1,096	1,170	1,235	1,260
<i>Margin</i>	11.7%	12.7%	13.4%	13.7%	14.1%	14.4%	14.7%	14.9%	15.1%	15.1%
Taxes on EBIT	(142)	(158)	(175)	(190)	(207)	(224)	(241)	(257)	(272)	(277)
NOPAT	505	561	621	674	735	796	855	912	964	983
+ D&A	219	227	238	252	267	283	298	313	328	
– Capex	(306)	(283)	(363)	(392)	(413)	(435)	(435)	(445)	(464)	
– Increase in NWC	101	3	46	56	61	63	62	59	58	
Free cash flow to firm	519	508	543	590	651	707	780	840	885	904
<i>Share of year included</i>		24%	100%	100%	100%	100%	100%	100%	100%	
<i>Discount period (years)</i>		0.12	0.74	1.74	2.74	3.74	4.74	5.74	6.74	
<i>Discount factor</i>		0.990	0.938	0.860	0.789	0.723	0.663	0.608	0.558	
PV of FCFF		118	509	508	513	511	517	511	494	

Key DCF assumptions

- **Valuation date** 06.10.2026 – only 24% of 2026E FCFF is included (stub); **mid-year** discounting
- **Terminal value:** Gordon growth with $g = 2.0\%$ and value-driver reinvestment (RONIC 25%) – implied exit multiple 8.2x EV/EBITDAaL
- **Lease consistency:** FCFF after lease payments, WACC and net debt excl. leases (pre-IFRS 16 basis)
- **Sensitivity:** $\pm 0.5\text{pp}$ WACC moves the value by NOK 3.8–4.4 per share; $\pm 0.25\text{pp}$ terminal growth by only NOK 1.0–1.0 (RONIC above WACC)

WACC

Risk-free rate	4.71%
Equity risk premium	5.00%
Relevered beta	0.81
Size premium	1.00%
Cost of equity	9.77%
After-tax cost of debt	5.04%
Target D / (D+E)	15%
WACC	9.06%

Valuation summary (NOKm)

PV of FCFF 2026E–2033E	3,682
PV of terminal value	7,141
Enterprise value	10,823
Net interest-bearing debt	(1,077)
Minority interests	–
Associates & investments	0
Pensions & other	–
Equity value	9,746
Diluted shares (m)	192.2
DCF value per share (NOK)	50.7
Current share price (NOK)	39.8
Upside	+27.6%

What the market is pricing in

At NOK 40 the market prices in an EBIT margin of 12.3% in 2033E – above the 11.7% earned in 2025A; our base case is 15.1%

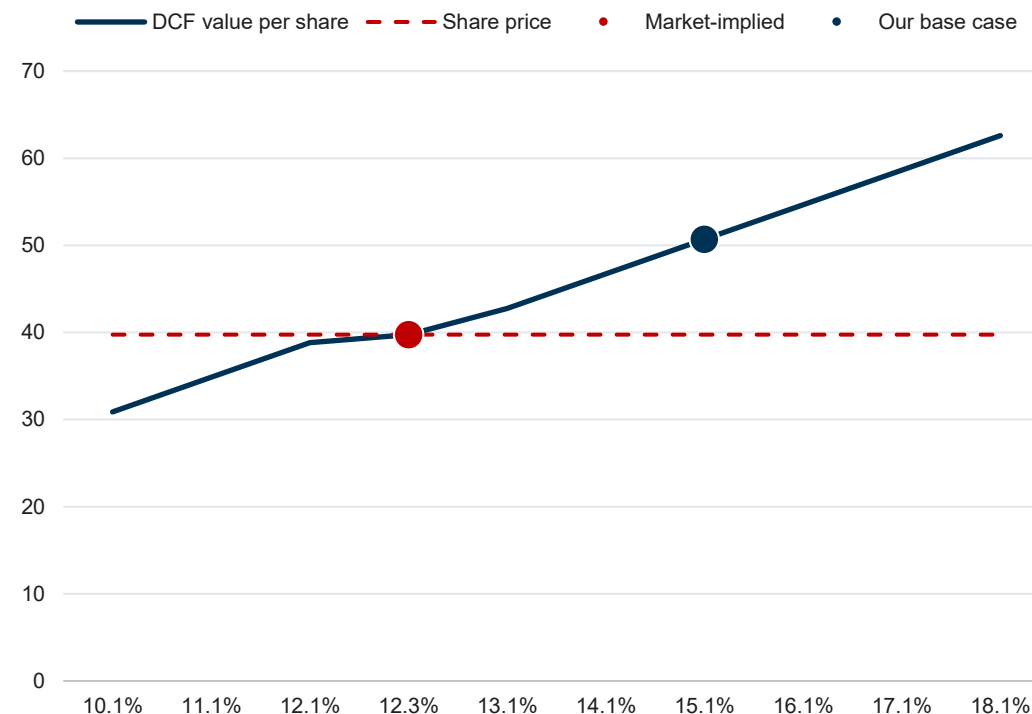
Market-implied vs. our base case

	Market-implied	Our base case	Difference	Reference
EBIT adj. margin, 2033E	12.3%	15.1%	–2.8pp	11.7% (2025A)
EBIT adj. margin, forecast average	11.4%	14.1%	–2.8pp	10.0% (3y avg.)
Revenue CAGR, 2025A–2033E	4.5%	5.1%	–0.6pp	10.5% (2022–25A)
... EBIT margin at that growth	12.4%	15.1%	–2.7pp	
WACC	10.71%	9.06%	+1.7pp	
Terminal growth	–2.33%	2.00%	–4.3pp	

How to read it

- **Margins:** the share price discounts an EBIT margin of 12.3% in 2033E – above today's 11.7%. Our 15.1% rests on operating leverage from a largely fixed cost base.
- **Growth:** or revenue growth of 4.5% a year instead of our 5.1% – with our cost base that also means a margin of 12.4%.
- **Discount rate:** or a WACC of 10.7% (ours 9.1%).
- **What it is worth:** each percentage point of EBIT margin in every year is worth **NOK 4.0 per share** – the upside rests on margins, not on multiples.

DCF value per share vs. EBIT adj. margin in 2033E (NOK)



The line crosses today's share price at an EBIT margin of 12.3% (red point). Our base case of 15.1% (navy point) gives NOK 51 per share. Each point on the line shifts the margin by the same amount in every forecast year and the terminal year.

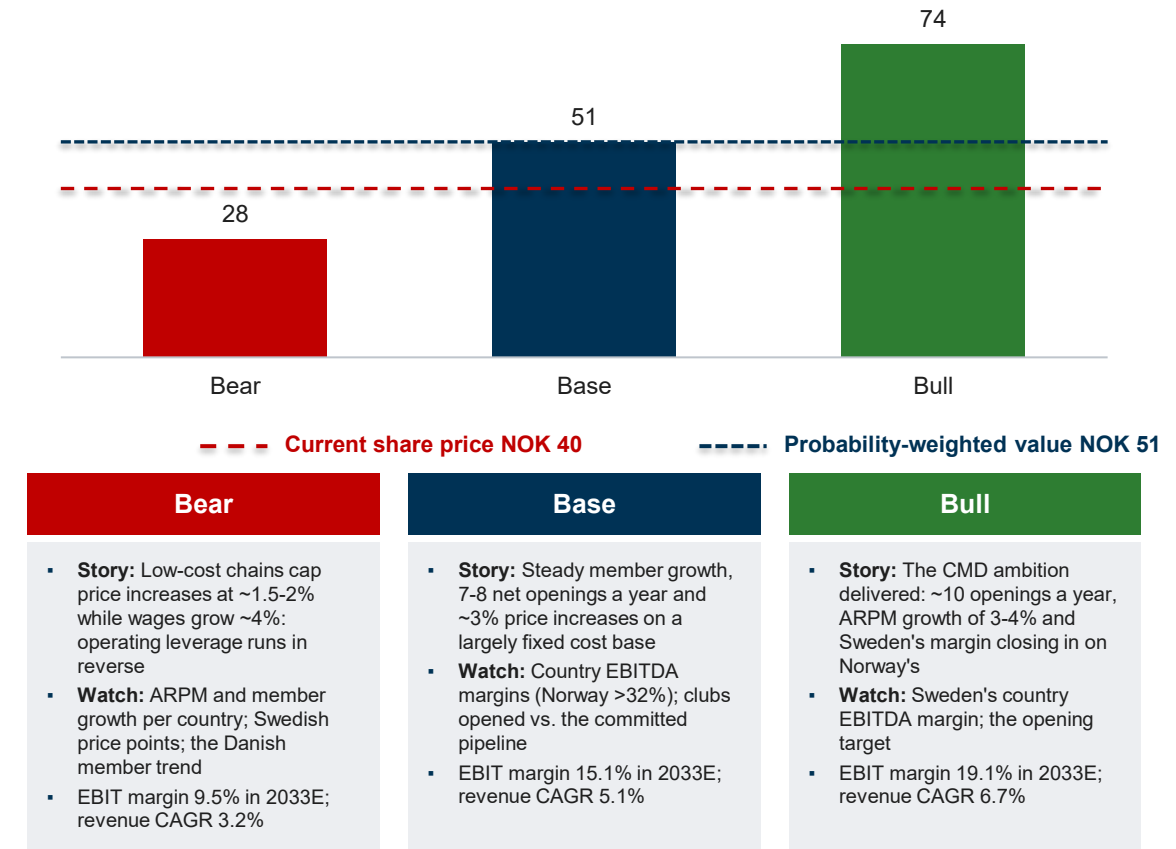
Scenario analysis

Bear-to-bull DCF range of NOK 28–74 per share; probability-weighted value of NOK 51

Scenario assumptions and outcomes

	Bear	Base	Bull
Assumptions (vs. base case, p.a.)			
Volume / like-for-like growth	–0.2pp	–	+0.2pp
Price/mix growth	–0.8pp	–	+0.5pp
Net new locations per segment p.a.	–1	–	+1
COGS in % of revenue	–	–	–
Personnel, variable part (% of rev.)	+0.2pp	–	–0.2pp
Other opex, variable part (% of rev.)	+0.1pp	–	–0.1pp
Maintenance capex (% of revenue)	–	–	–
Terminal growth	–	–	+0.2pp
Probability	25%	50%	25%
Outcomes			
Revenue CAGR 2025–2033E	3.2%	5.1%	6.7%
EBIT adj. margin 2033E	9.5%	15.1%	19.1%
Enterprise value (NOKm)	6,408	10,823	15,256
DCF value per share (NOK)	28	51	74
Upside vs. current price	–30%	+28%	+86%
Target price (NOK)	34	54	74
Implied recommendation	SELL	BUY	BUY

DCF value per share by scenario (NOK)



Thesis tracker – what would make us wrong

All 5 kill criteria are on track on the 2025A actuals – we would change our view if any of them is breached

Kill criteria

KPI	Kill if	Threshold	Latest (2025A)	Base case (2026E)	Watch zone	Status	Base case check
Price/mix growth, group	below	1.5%	5.8%	3.0%	1.0%	ON TRACK	OK
Like-for-like volume growth, group	below	-1.0%	2.5%	1.0%	1.0%	ON TRACK	OK
EBIT adj. margin (pre-IFRS 16)	below	10.0%	11.7%	12.7%	1.0%	ON TRACK	OK
Cash conversion (FCFF / EBITDAaL)	below	35.0%	59.9%	53.7%	10.0%	ON TRACK	OK
NIBD / EBITDAaL	above	2.00x	1.13x	1.25x	0.25x	ON TRACK	OK

Watch zone: the distance to the threshold that turns the status from ON TRACK to WATCH. Base case check: our own forecast for next year must not breach the criterion.

Scenario signposts – what has to happen, and what we watch

Bear · NOK 28 per share · 25%	Base · NOK 51 per share · 50%	Bull · NOK 74 per share · 25%
Story: Low-cost chains cap price increases at ~1.5-2% while wages grow ~4%: operating leverage runs in reverse What has to happen: ARPM growth below +2% currency adjusted for two quarters and a falling member base Watch: ARPM and member growth per country; Swedish price points; the Danish member trend	Story: Steady member growth, 7-8 net openings a year and ~3% price increases on a largely fixed cost base What has to happen: 2026 EBITDAaL passes NOK 1.0bn and the 2027 openings are delivered on schedule Watch: Country EBITDA margins (Norway >32%); clubs opened vs. the committed pipeline	Story: The CMD ambition delivered: ~10 openings a year, ARPM growth of 3-4% and Sweden's margin closing in on Norway's What has to happen: Sweden's country EBITDA margin above 25% for a full year and a higher opening target Watch: Sweden's country EBITDA margin; the opening target

Where we differ from consensus

Our 2027E revenue is -1.5% vs. consensus and EPS -5.8%

Our estimates vs. consensus (NOKm, EPS and DPS in NOK)

	2026E ours	2026E cons.	2026E diff.	2027E ours	2027E cons.	2027E diff.	2028E ours	2028E cons.	2028E diff.
Revenue	5,665	5,711	-0.8%	5,952	6,044	-1.5%	6,301	n.a.	n.a.
EBITDA (reported)	2,203	n.a.	n.a.	2,342	n.a.	n.a.	2,500	n.a.	n.a.
EBIT (reported)	971	n.a.	n.a.	1,058	n.a.	n.a.	1,141	n.a.	n.a.
EPS	2.87	2.90	-1.1%	3.31	3.51	-5.8%	3.77	n.a.	n.a.
DPS	1.43	n.a.	n.a.	1.65	n.a.	n.a.	2.07	n.a.	n.a.

Consensus recommendations: 3 Buy / 2 Hold / 0 Sell · consensus target price NOK 51 (+29% upside). Green = we are above consensus.

Our variant perception

1. Operating leverage

We: EBIT adj. margin rises from 11.7% (2025) to 15.1% by 2033 on a largely fixed cost base

Consensus: Close to us for 2026 and ~6% above us on 2027 EPS; the share price implies only ~12.3% in 2033 (11.7% today)

Why: ~70% of personnel and ~60% of other opex are fixed per club. Q2 2026: ARPM +6% vs. costs +4% currency adjusted, EBITDA before IFRS 16 +18%, Norway margin 37% (+2pp)

Proof – and when: Q3 (27 Oct) and Q4 2026 (Feb 2027) reports: EBITDA before IFRS 16 above NOK 1.0bn for 2026

EPS 2027E: -5.8% vs. consensus

2. Roll-out

We: 7-8 net openings a year in 2027-30 (the lower end of the 8-12 target), each reaching mature volume in its third year

Consensus: Roll-out stays at the committed 13 clubs and closures offset openings (net -3 clubs in 2026)

Why: 13 clubs committed through 2028 and 'several processes in final stages' for the 8-12 run-rate (Q2 2026); a new club costs NOK 7-8m and pays back in ~3 years (CMD 2025)

Proof – and when: Q4 2026 report (Feb 2027): clubs opened in H2 2026 and the 2027 opening pipeline

Revenue 2027E: -1.5% vs. consensus

3. Capital returns

We: Buybacks lift NIBD/EBITDAaL towards the 1.5x lower end of the target range (we model 1.25x) on top of a 50-60% dividend payout – the share count falls ~4% a year

Consensus: The market values SATS on its ~3.5% dividend yield and treats buybacks as one-offs (our reading)

Why: H1 2026 payout ratio 152% (NOK 318m buybacks + NOK 0.72 dividend), 4.0m shares cancelled and 2.5m approved for cancellation; leverage 1.1x vs. the 1.5-2.0x target (Q2 2026)

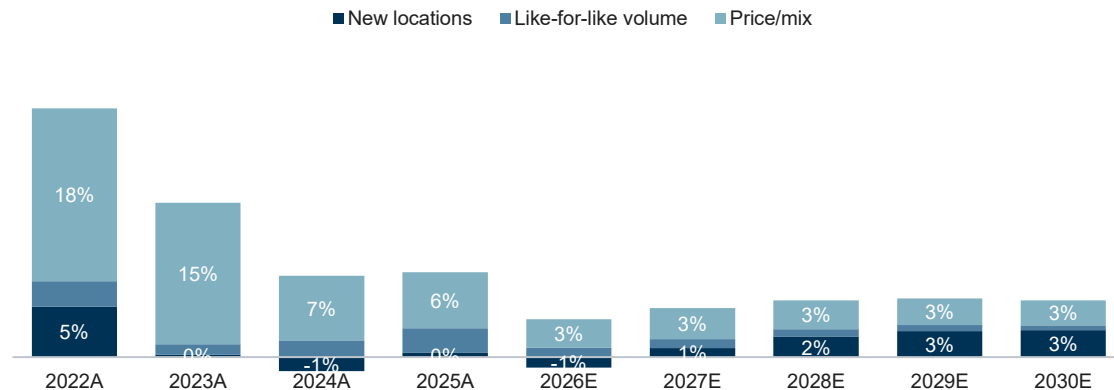
Proof – and when: Q4 2026 report (Feb 2027): size of the next buyback programme; AGM May 2027: renewed mandate

EPS 2026E: -1.1% vs. consensus

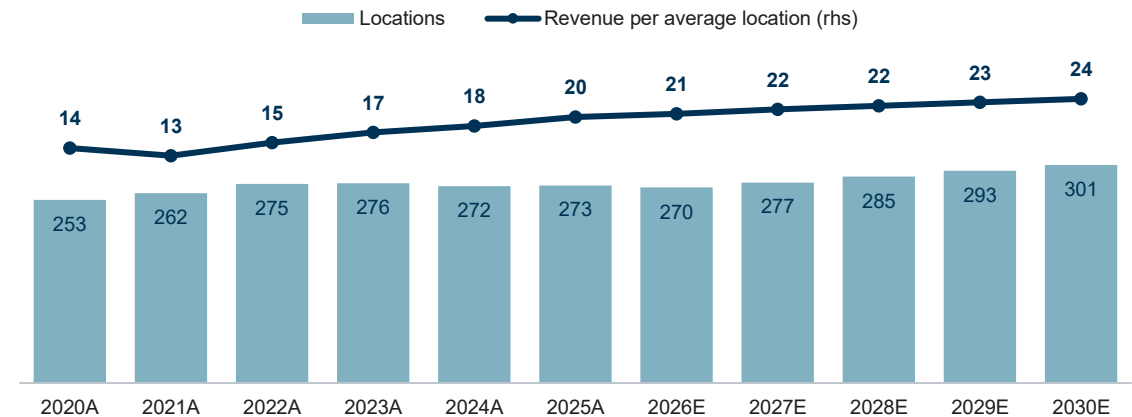
Growth engine – like-for-like and new locations

31 new locations over 2026E–2030E add ~1.5pp a year, like-for-like ~0.8pp and price/mix ~2.9pp – 5.1% revenue CAGR

Revenue growth by source



Locations (year end) and revenue per location (NOKm)



Location economics – base case

	2025A	2026E	2027E	2028E	2029E	2030E
Locations, year end	273	270	277	285	293	301
Net new locations	+1	-3	+7	+8	+8	+8
Mature-equivalent locations (all segments)	273.0	270.0	272.4	278.1	285.5	293.4
Revenue per average location (NOKm)	20.2	20.9	21.8	22.4	23.1	23.8
Capex per new location (NOKm)	–	9.0	9.3	9.6	9.8	10.1
Growth capex (NOKm)	–	0	65	77	78	81

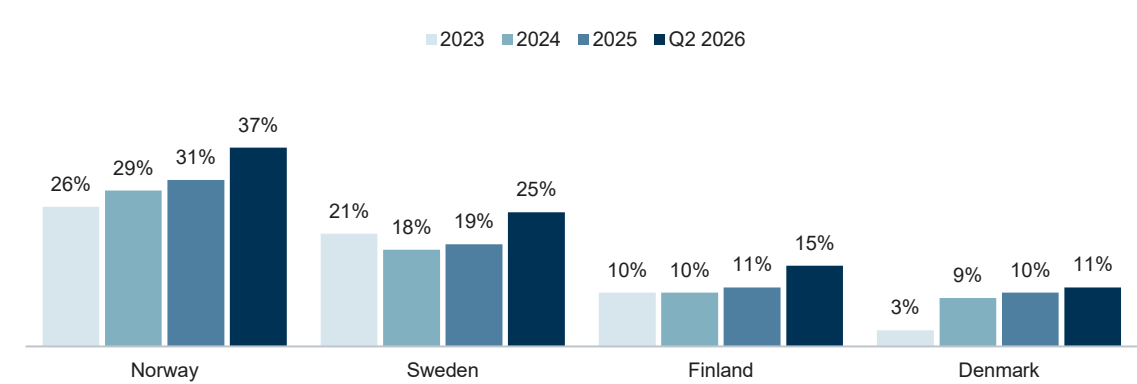
How a new location matures

- Volume vs. a mature location: **35%** in the opening year, **75%** in year two, **95%** in year three, 100% from year four.
- Rent and staff are paid from day one – openings dilute margins first and lift them as they mature.

Club economics – country margins and the cost of a new club

Norway's country margin is 31% (37% in Q2 2026); a new club costs NOK 7-9m and pays back in ~3 years – we stay below guidance

Country EBITDA margin before IFRS 16



Country EBITDA before IFRS 16 and before group overhead (~NOK 0.6bn a year); Q2 is seasonally the strongest quarter.

Country snapshot – Q2 2026

	Clubs	Members ('000)	Members per club	ARPM (NOK/month)	EBITDA margin
Norway	118	341	2,890	652	37%
Sweden	92	254	2,761	634	25%
Finland	32	70	2,188	606	15%
Denmark	28	79	2,821	594	11%
Group	270	744	2,756	635	22%

Group EBITDA margin after overhead (pre-IFRS 16); country margins before group overhead. Norway (incl. Fresh Fitness) earns ~60% of country EBITDA with 44% of the clubs.

A new club and the group's financial framework – company guidance vs. our base case

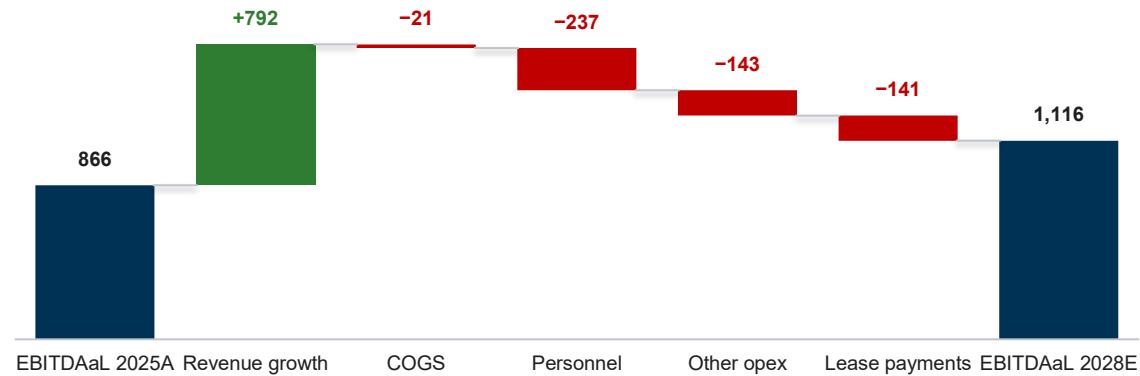
	SATS – Capital Markets Day 2025 / Q2 2026	Our model (base case)
Openings per year	8-12 a year from 2027; 13 clubs committed through 2028	7 in 2027E, 8 in 2028E, 8 a year in 2029E-2030E – net of closures
Expansion capex per club	NOK 7-8m per club	NOK 9.0m in 2026E, indexed to NOK 10.8m by 2033E (buffer for conversions and relocations)
Payback	About three years	~2.8 years at mature volume: NOK 9.0m / NOK 3.2m EBITDAaL per club (2025A)
Maintenance capex	~5% of revenue (4.6% LTM Q2 2026)	5.0% of revenue every year; new clubs reach 35/75/95% of mature volume in years 1-3
Cash conversion	Free cash flow 64% of EBITDA LTM Q2 2026 (after tax and interest)	Free cash flow to equity 50% of EBITDAaL in 2026E, 49% in 2028E (22% cash tax, all capex)
Leverage	1.5-2.0x NIBD/EBITDA, lower end (1.1x at 30 Jun 2026)	Buybacks lift NIBD/EBITDAaL to 1.25x and hold it there
Distribution	>50% of net profit via semi-annual dividends and buybacks (152% in H1 2026)	50-60% dividend payout plus buybacks of NOK 348-393m a year from 2027E

Sources: SATS ASA Q4 2023-Q4 2025 reports and the Q2 2026 presentation (country EBITDA before IFRS 16 and before group overhead; clubs, members, ARPM), SATS Capital Markets Day 2025 (openings, expansion capex, payback, maintenance capex, leverage and distribution policy), case team estimates (Excel model).

From revenue growth to cash and shareholder returns

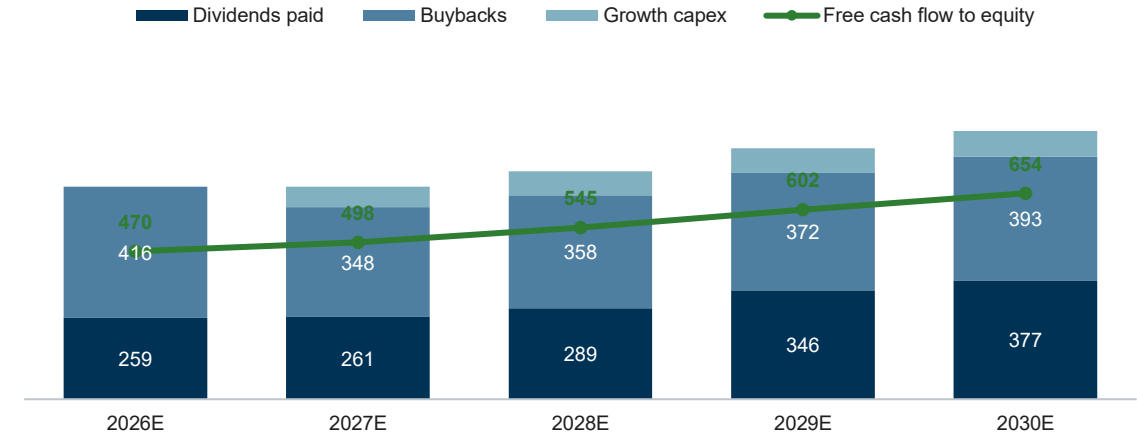
Revenue +NOK 792m by 2028E adds NOK 250m of EBITDAaL; NOK 2.8bn of free cash flow in 2026-30E funds payouts and new clubs

EBITDAaL bridge 2025A → 2028E (NOKm)



Revenue CAGR 4.6%; EBITDAaL margin 15.7% → 17.7% – costs grow with inflation and clubs, not with revenue

Free cash flow to equity and its uses 2026E–2030E (NOKm)



Dividends are paid the year after they are earned; growth capex is shown as a use of cash before free cash flow to equity

Capital allocation – base case

	2025A	2026E	2027E	2028E	2029E	2030E
Free cash flow to equity (NOKm)	505	470	498	545	602	654
Dividends paid (NOKm)	127	259	261	289	346	377
Share buybacks (NOKm)	0	416	348	358	372	393
Total distribution in % of net profit	27%	129%	106%	103%	105%	104%
Dividend per share (NOK)	1.30	1.43	1.65	2.07	2.37	2.93
Shares outstanding, year end (m)	199	182	175	167	160	152
NIBD / EBITDAaL (x)	1.1x	1.2x	1.2x	1.2x	1.2x	1.2x

Why cash matters here

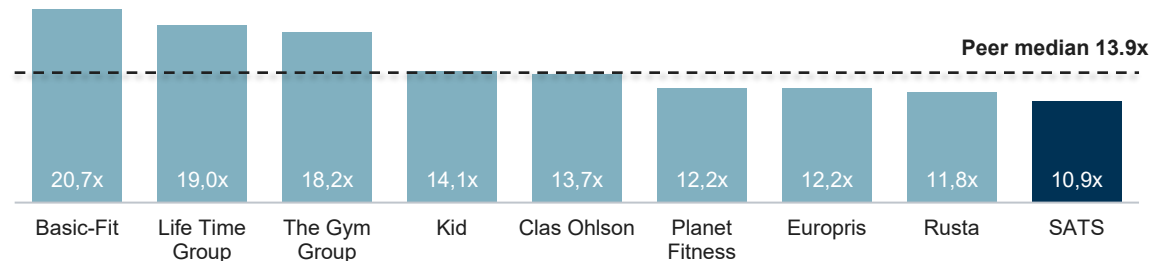
- Members prepay: NWC is 16% of revenue and a source of funds as revenue grows.
- Maintenance capex 5% of revenue and growth capex NOK 9m per club leave most of EBITDAaL for shareholders.
- Buybacks of ~NOK 348m a year at our modelled prices retire ~4% of the shares a year – EPS compounds faster than profit.

Peer group and multiples

SATS trades at a 22% discount to peers on 2027E EV/EBIT despite a 5pp higher EBIT margin

Company	Country	Mcap (NOKm)	EV/EBITDA 2026E	EV/EBITDA 2027E	EV/EBIT 2026E	EV/EBIT 2027E	P/E 2026E	P/E 2027E	EBIT margin 2027E	Growth 2027E
Basic-Fit	NL	22,723	10.5x	8.2x	45.9x	20.7x	22.2x	14.3x	4.8%	11.5%
Planet Fitness	US	33,255	9.7x	9.1x	13.2x	12.2x	14.2x	12.7x	31.0%	7.0%
Life Time Group	US	84,692	13.8x	12.0x	23.9x	19.0x	22.9x	19.7x	13.4%	12.0%
The Gym Group	UK	4,157	8.4x	7.1x	30.3x	18.2x	36.4x	32.8x	5.2%	10.8%
Europriis	NO	13,780	11.5x	10.8x	13.1x	12.2x	15.4x	12.3x	7.9%	5.4%
Kid	NO	4,951	11.8x	10.9x	15.7x	14.1x	14.9x	12.3x	9.4%	6.1%
Clas Ohlson	SE	26,048	14.0x	12.5x	15.5x	13.7x	19.0x	17.7x	12.4%	6.0%
Rusta	SE	11,288	10.9x	9.6x	13.7x	11.8x	17.3x	14.9x	6.3%	9.2%
Peer median		18,252	11.2x	10.2x	15.6x	13.9x	18.1x	14.6x	8.6%	8.1%
Peer mean		25,112	11.3x	10.0x	21.4x	15.2x	20.3x	17.1x	11.3%	8.5%
SATS ASA	NO	7,596	9.2x	8.4x	12.1x	10.9x	13.9x	12.0x	13.4%	5.1%
<i>Premium / (discount) vs. median</i>			(18%)	(18%)	(23%)	(22%)	(24%)	(18%)	+4.7pp	-3.0pp

EV/EBIT 2027E – peers vs. SATS



Implied value per share from peer multiples (NOK)

Multiple (2027E)	Company metric	25th pct	Median	75th pct	Included
EV / Sales	NOKm 5,952	33	42	56	No
EV / EBITDA	NOKm 1,035	42	49	55	Yes
EV / EBIT	NOKm 797	45	52	71	Yes
P / E	NOK 3.31	42	48	60	Yes
Average (included)		43	50	62	

EV/Sales excluded: ignores the company's superior margins.

WACC and key forecast assumptions

9.1% WACC from a peer-based beta; forecast drivers anchored in the historical track record

Cost of capital build-up

Cost of equity	
Risk-free rate (10y NGB)	4.71%
Equity risk premium	5.00%
Unlevered beta (peer median)	0.71
Target D/E	17.6%
Relevered beta	0.81
Size premium	1.00%
Cost of equity	9.77%
Cost of debt	
Pre-tax cost of debt (rf + spread)	6.46%
Tax rate	22%
After-tax cost of debt	5.04%
Capital structure	
Target D / (D+E)	15%
Target E / (D+E)	85%
WACC	9.06%

Peer betas (5y monthly, Blume-adjusted)

Peer	Raw β	Adj. β	D/E	Unlev. β
Basic-Fit	0.89	0.93	58%	0.65
Planet Fitness	1.01	1.01	70%	0.65
Life Time Group	1.48	1.32	17%	1.17
The Gym Group	0.83	0.89	19%	0.78
Median (8 peers)	0.90	0.93	16%	0.71

Base case forecast drivers

	Hist. 3y	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue drivers (location mode)									
Like-for-like – Norway	2.6%	1.0%	0.8%	0.6%	0.5%	0.4%	0.3%	0.3%	0.3%
Like-for-like – Sweden	1.3%	1.5%	1.2%	1.0%	0.8%	0.6%	0.5%	0.4%	0.3%
Like-for-like – Finland & Denmark	1.0%	0.0%	0.8%	0.8%	0.6%	0.5%	0.4%	0.3%	0.3%
Net new locations – Norway	-1	-1	5	5	4	4	3	3	3
Net new locations – Sweden	0	-1	1	2	2	2	2	1	1
Net new locations – Finland & Denmark	-0	-1	1	1	2	2	1	1	1
Price/mix – Norway	6.3%	5.5%	3.5%	3.0%	2.8%	2.5%	2.5%	2.5%	2.5%
Price/mix – Sweden	9.6%	2.0%	3.0%	3.0%	2.5%	2.5%	2.5%	2.5%	2.5%
Price/mix – Finland & Denmark	14.1%	-1.0%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
Costs									
COGS (% of revenue)	2.8%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	2.6%
Personnel, variable (% of rev.) ¹	36.5%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%
Other opex, variable (% of rev.) ¹	22.6%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Cost inflation, fixed costs and rent	–	1.5%	3.2%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
D&A (owned assets)	4.4%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Investments and other									
Maintenance capex (% of revenue)	4.4%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Capex per new location (NOKm)	–	9.0	9.3	9.6	9.8	10.1	10.3	10.6	10.8
NWC (% of revenue)	-15.6%	-16.0%	-16.0%	-16.0%	-16.0%	-16.0%	-16.0%	-16.0%	-16.0%
Tax rate	25.4%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%
Dividend payout ratio	18.2%	50.0%	50.0%	55.0%	55.0%	60.0%	60.0%	60.0%	60.0%

¹ History shows the total cost ratio; the fixed part (Drivers E) grows with inflation and the number of locations instead of with revenue.

Terminal assumptions

Growth 2.0% • RONIC 25% • EBIT margin 15.1% (final year) • Tax 22% • Exit cross-check 9.0x EV/EBITDAaL

Personnel costs – the key judgement

35.4% of revenue in 2023A, 37.3% in 2025A; base case 36.9% in 2026E falling to 35.5% by 2033E as ~70% of it is fixed per club.
If the 2025A ratio persisted (all personnel costs variable): DCF NOK 44 per share (-6), rating BUY.

Competitive landscape and macro backdrop

SATS is the premium price leader at roughly twice the low-cost chains; Norwegian wage growth of ~4% is the cost line to watch

Nordic fitness operators – positioning and indicative list prices

Operator	Segment	Markets	Clubs	Monthly price	Note
SATS / ELIXIA	Premium, group training	NO SE FI DK	228	NOK 450-1,000 by tier and club	ARPM NOK 635 (Q2 2026)
Fresh Fitness (SATS)	Low-cost	NO	42	NOK 299-399	SATS's low-cost flank
Nordic Wellness	Mid / low-cost	SE	450+	SEK 299-699	Largest by clubs; targets 600 by 2030
Fitness24Seven	Low-cost, 24/7	SE NO FI	280+	SEK 199-399	Five countries incl. CO, TH
EVO Fitness	Low-cost, 24/7	NO (+DE, CH)	~75 (EST)	NOK 249-399	Unstaffed clubs
Actic	Mid-market	SE	~100	n.a.	Shrinking; Norway sold 2025
PureGym / Fitness World	Low-cost	DK	n.a.	n.a.	#1 in Denmark

SATS's price premium rests on group training (1,800 classes a day), club clusters in the capitals and the Fresh Fitness flank. Sweden is the contested market: Nordic Wellness adds ~30 clubs a year and SATS's Swedish margin (25% in Q2 2026) is two thirds of Norway's.

Macro backdrop – what drives price and cost

	Norway	Sweden
Policy rate (Oct 2026)	4.50%	1.75%
CPI 2026E / 2027E	3.3% / 2.6%	1.5% / 2.1% (KPIF)
Wage growth 2026E / 2027E	4.4% / 4.0%	3.5% / 3.4%
10-year government bond (7 Oct 2026)	4.71%	–
SATS revenue per member, Q2 2026 (curr. adj.)	+7%	+5%
SATS country EBITDA margin, Q2 2026	37%	25%

Norway = 45% of revenue, Sweden 34%, Finland and Denmark 21% (2025).

What it means for the forecast

Price runs ahead of cost today: ARPM +6% vs. total costs +4% currency adjusted in Q2 2026. The base case lets the spread close – price/mix 2.5% against 3.0% fixed-cost inflation from 2028.

Wages are the cost line: personnel is 37% of revenue and Norwegian wage growth is 4.4%/4.0% – hence 3.25% fixed-cost inflation in 2027 (wages on ~60% of the fixed base, CPI-indexed rent on the rest).

Sweden has less pricing room: KPIF of 1.5-2% and low-cost capacity – we model 2-3% price growth there and let utilisation do the work. Norwegian rates keep the discount rate high (risk-free 4.71%).

Sources: operators' websites and price comparisons (klikk.no; Börskollen, Aug 2025; subger.com, Mar-Jul 2026) – list prices are indicative and not like-for-like (tiers, binding periods, start fees differ); club counts from company websites and job postings (Nordic Wellness, Fitness24Seven), Affärsvärlden (Actic) and SATS Q2 2026 (270 clubs incl. 42 Fresh Fitness). Macro: Norges Bank MPR 3/26, Riksbank MPR Sep 2026, Konjunkturinstitutet Sep 2026, Oslo Børs (10-year government bond). EST = case team estimate.

Key risks

Risks are manageable – our bear case DCF of NOK 28 is 30% below today's share price, against 36% upside to our target price

1

Low-cost competition
Low-cost chains add capacity in the big cities and cap price increases; SATS answers with Fresh Fitness and product tiers.

2

Cost inflation
Personnel and rent are ~70% of costs – Norwegian wage growth of ~4% above the growth in revenue per member reverses the operating leverage.

3

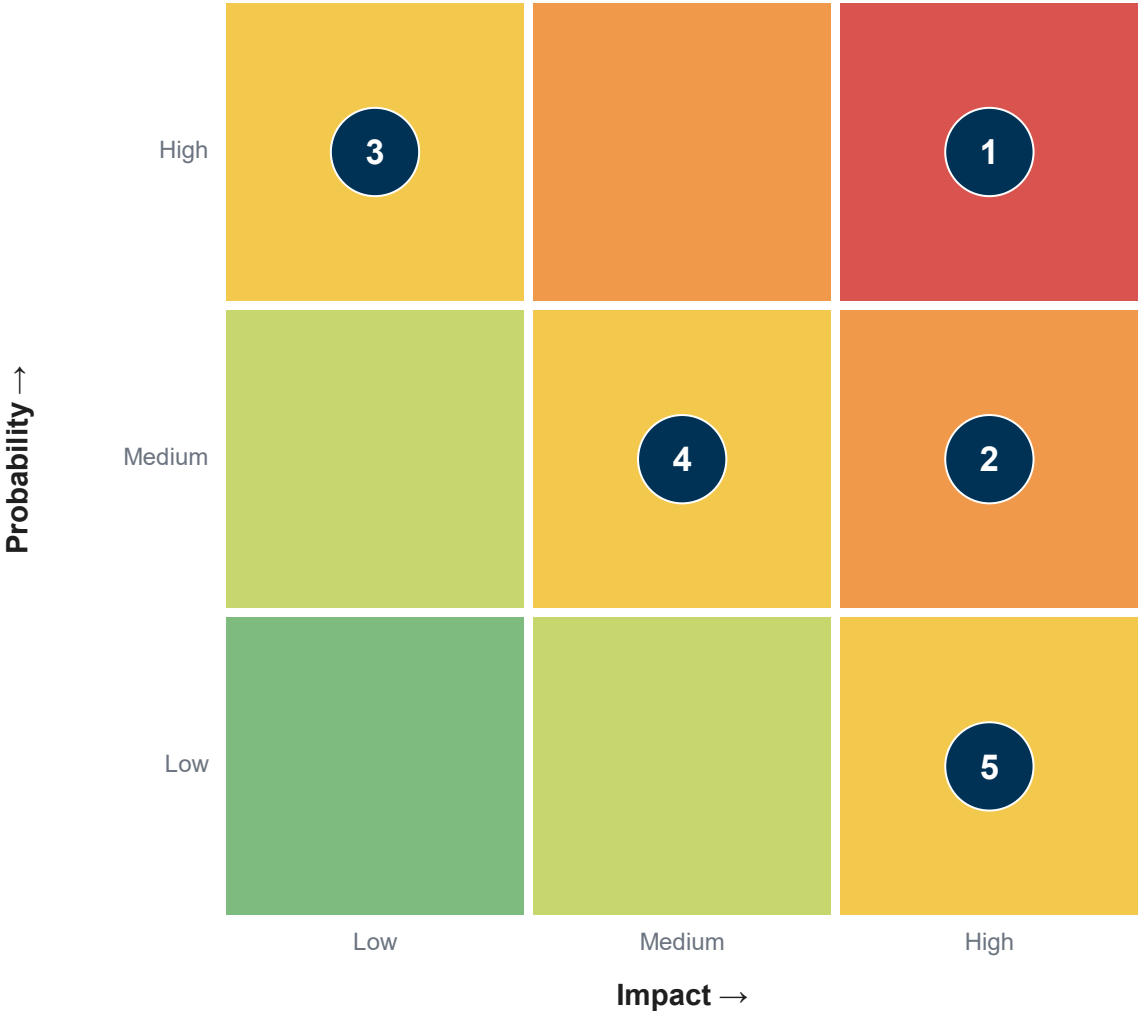
Denmark and Finland
Denmark lost 4% of its members after VAT on group training and PT (2026); both countries earn thin margins.

4

Roll-out execution
8-12 openings a year after years of a flat club count; only 13 clubs are committed through 2028.

5

Consumer slowdown
Memberships are discretionary: the member base fell 9% in 2020 and took two years to recover.



Sources: Case team assessment. Probability and impact are qualitative (1 = low, 3 = high).